writing an article on investment trends for *Fortune* in 1948, Jones had the unique idea of managing the risk of holding long stock positions by selling short other stocks and using leverage to boost portfolio returns. In 1949, at the age of 48, Jones raised $60,000 from four friends, added it to $40,000 of his own money, and began the first "hedged fund," as he called it.

In 1952, Jones opened the fund to new investors and altered the structure by converting it from a general partnership to a limited partnership. He also added a 20% incentive fee as compensation for himself as managing partner. He modeled his profit participation idea after the Phoenician merchants who kept one-fifth of the profits from successful voyages. As the first money manager to combine short selling, leverage, shared risk through a partnership with other investors, and a compensation system based on investment performance, Jones became the father of the all hedge funds.

The hedge fund industry did not really get off the ground until 1966, when an article in *Fortune* magazine highlighted how Jones's obscure private investment fund had outperformed every mutual fund by high double digits over the prior five years. In the 10 years leading up to 1965, Jones had earned almost twice as much as his nearest competitor. Two years after the *Fortune* article, there were almost 200 hedge funds.

In an effort to maximize returns (and performance fees), many funds turned away from Jones' long/short hedged strategy but retained the leverage feature. Hedge funds moved increasingly away from the theme of Conrad Thomas's 1970s' book (with the best title ever given an investment book), *Hedgemanship: How to Make Money in Bear Markets, Bull Markets, and Chicken Markets While Confounding Professional Money Managers and Attracting a Better Class of Women*. Doing away with the hedged feature led to very large losses and many hedge fund closures during each bear market. The 1973–1974 market crash, in fact, wiped out most hedge funds. According to research firm Tremont Partners Inc., there were only 84 hedge funds in 1984.

The industry continued this way, remaining relatively quiet until a 1986 article in *Institutional Investor* touted the double-digit returns of Julian Robertson's Tiger Fund. Investors quickly started flocking to hedge funds again. Lured by the 2% of assets and 20% of profits fee structure, high-profile money managers deserted the mutual fund industry in droves during the early 1990s to seek fame and fortune as hedge fund managers.